

THE SESSION · POST-CLOSE READ

Chips Reclaim the Tape

The Growth Portfolio advanced 2.43% as semiconductors unwound Monday's pre-print de-risk in a single session. The Dividend Strategy finished essentially flat at -0.02%, ahead of DVY, as crude and the defense primes gave back ground.

S&P 500 ▲ 0.30%

NASDAQ ▲ 0.66%

DOW ▲ 0.30%

VIX 15.48

BRENT ▼ \$89

DIVIDEND STRATEGY

▲ BEAT DVY · TRAILED SPY

-0.02%

1-DAY

FCI		-0.02%
DVY		-0.32%
SPY		+0.31%

YTD +22.55% vs DVY +18.09% · SPY +12.90%

GROWTH PORTFOLIO

▲ BEAT IUSG + SPY

+2.43%

1-DAY

FCI		+2.43%
IUSG		+0.63%

YTD +24.69% vs IUSG +13.21%

THE SESSION

Monday's chip-sector de-risk reversed inside a single session, and the Growth Portfolio was positioned squarely for it. The S&P 500 closed 0.30% higher at 7,675.83, the Nasdaq Composite added 0.66% to 26,151.30, and the Dow gained 0.30% to 53,577.40 for a third consecutive advance. Beneath a modest headline, the composition inverted: the semiconductor names that carried Monday's selling led Tuesday's recovery, while the staples-and-industrials complex that absorbed that rotation handed the gains back. The Growth Portfolio returned 2.43% against IUSG's 0.63% and SPY's 0.31% — a 180-basis-point margin over the growth benchmark on the day. The Dividend Strategy finished at -0.02%, thirty basis points ahead of DVY at -0.32%, though behind SPY. Volatility eased, with the VIX settling at 15.48.

The energy complex supplied the session's clearest single input. Brent fell more than 3% toward \$89 a barrel and West Texas Intermediate declined by a similar margin toward \$82, as traders concluded that Washington's widened sanctions on Iran were less disruptive to physical supply than a military escalation would have been; Saxo Bank's Ole Hansen noted the announcement fell short of what the market had braced for, and Pakistani mediation efforts offset the bullish read from Monday's Treasury press conference. Our energy holdings tracked it directly — CVX -1.57%, OKE -1.42%, CNX -1.32% — and the defense primes eased on the same de-escalation logic, with GD -1.87% and LMT -1.35%. That is the cost side of a barbell working as designed: the positions that compensate us when the Gulf tightens are the ones that give ground when it loosens.

A single session's reversal is not a thesis. Owning the businesses through both directions is.

Hard assets held their bid independent of the equity rotation. Gold December futures opened at \$4,710.10 an ounce, their highest level in over three months per Yahoo Finance, and copper firmed 0.96% to \$6.66 a pound per Trading Economics — AEM gained 2.85% and FCX 2.71% on the pair. Bitcoin traded through \$80,000 overnight for the first time since May, lifting HUT 7.47% and MARA 5.81%, though our spot ETF sleeve barely registered it: IBIT closed +0.18% and ETHA

–0.32%, a reminder that miner equity carries operating leverage the trusts do not. The macro calendar remains the governing variable. The Conference Board's consumer confidence index fell to 89.4 in August from a revised 90.2, its lowest reading since January, with the expectations component down 7.8%. Wednesday brings the PCE print and Nvidia's results after the close; Chair Warsh speaks Friday at Jackson Hole. We are not positioning for any of it. We are owning through it.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

HOOD +8.17% GROWTH

Bernstein circulated a research note sizing prediction-market industry volume near \$240 billion for 2026 and roughly \$1 trillion by 2030; bitcoin trading above \$80,000 overnight added to the bid for crypto-linked brokerages.

HUT +7.47% GROWTH

Bitcoin moved through the \$80,000 level in overnight trade for the first time since May, lifting the listed mining complex.

MARA +5.81% GROWTH

Tracked the same overnight bitcoin move; miners carried more of the beta than the spot ETFs did.

DECLINERS

NTR -1.95% DIVIDEND

Gave back part of an August advance without a company-specific disclosure; the fertilizer complex eased alongside a softer energy tape.

FAST -1.89% DIVIDEND

The industrial distributor eased as the rotation that bid staples and industrials on Monday reversed back toward semiconductors.

GD -1.87% DIVIDEND

Defense primes softened on the read that the new Iran sanctions package is less disruptive to supply than a military escalation would be. LMT eased 1.35% on the same theme.

HOLDINGS NEWS

AMD upgraded on a \$201 billion server-CPU forecast.

Raymond James lifted its rating on Advanced Micro Devices, framing a server-CPU market it sizes near \$201 billion and setting a target above the stock's 52-week high. Shares closed 4.91% higher at \$479.18. We would note the target sits above the range the shares have traded in over the past year, which makes the call a statement about the EPYC franchise's share trajectory rather than about the current multiple. The position remains a growth-sleeve holding on the strength of the data-center franchise, not on any single sell-side revision.

AMD +4.91% GROWTH

Raymond James upgraded the shares, framing a roughly \$201 billion server-CPU opportunity. The call landed into a broad semiconductor recovery.

MRVL +4.84% GROWTH

Recovered with the group after Monday's pre-print de-risk; Marvell reports its own quarter later this week.

AEM +2.85% GROWTH

Gold futures opened at \$4,710.10 an ounce, up 0.3%, reaching their highest levels in over three months per Yahoo Finance, with the PCE print and Friday's Jackson Hole keynote both ahead.

CVX -1.57% GROWTH

Brent slid more than 3% toward \$89 a barrel as traders judged Washington's economic pressure on Tehran milder than the framing had implied, per Reuters and CNBC coverage.

OKE -1.42% GROWTH

Midstream tracked the crude complex lower on the same de-escalation read; CNX eased 1.32% alongside.

Nvidia reports Wednesday after the close. NVDA added 2.14% to \$212.95, arresting a seven-session decline the day before it reports fiscal second-quarter results. The print is the growth sleeve's largest single scheduled event of the quarter, and the sector's Tuesday recovery was plainly a positioning function rather than new information. Marvell follows later in the week. Our approach to both is unchanged: we own these businesses for the multi-year build-out of compute infrastructure, and a single quarter's guidance does not settle that question in either direction.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+22.55%

vs DVY +18.09% / SPY +12.90%

GROWTH PORTFOLIO

+24.69%

vs IUSG +13.21%